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EDUCATION EXAMINATION

(Mock Test 31)

Suggested Solution

Paper 1

1. C	11. B	21. A	31. A	41. C
2. D	12. C	22. D	32. A	42. B
3. D	13. B	23. C	33. A	43. C
4. D	14. D	24. B	34. B	44. C
5. C	15. C	25. B	35. B	45. A
6. C	16. D	26. B	36. A	
7. D	17. B	27. A	37. B	
8. C	18. B	28. B	38. C	
9. A	19. D	29. B	39. D	
10. C	20. D	30. A	40. C	

Explanation

1. Answer: C

When the government raises the property tax rate, Mr. Cheung needs to pay more tax for renting out his property in Hong Kong and the money cost of renting out the unit increases.

Option A is incorrect. Mr. Cheung has to pay the management fee whether he rents out the unit or not.

An increase in the management fee would not affect the cost of renting out the unit.

Option B is incorrect. An increase in the average rent of residential units in the same housing estate increases the value of renting out the unit but has no effect on the cost of renting out the unit.

Option D is incorrect. If Mr. Cheung does not rent out the residential unit, he may be able to sell it. The cost of renting out the unit is the market price of selling the unit. A decrease in the market price of residential units will lower the cost of renting out the unit.

2. Answer: D

To Kevin's brother, the smartphone case is the cost of earlier availability of the smartphone. To Kevin, the smartphone case is his compensation for deferring current consumption. The smartphone case is interest to both of them.

(1) is incorrect. The smartphone case is an economic good because its provision involves the use of scarce resources which have alternative uses.

3. Answer: D

Miss Lee has the exclusive right to use, the exclusive right to receive income from, and the right to transfer the ingredients and the baking equipment in the store. She has the right to hold a baking class in the store for income.

Options A, B and C are incorrect. Customers of the self-service bakery store do not have the exclusive right to receive income from and the right to transfer the ingredients and the baking equipment in the store. They cannot take away, sell or lease out the ingredients and the baking equipment in the store for income.

4. Answer: D

Firm A is a public limited company as it is required to disclose its accounting information to the public. Firm B is a partnership as there is more than one owner and there is a lack of continuity. Firm A is a legal entity and has independent legal status, while firm B is not a legal entity and has no independent legal status.

Option A is incorrect. Firm A (public limited company) can issue shares and bonds to the public.

Option B is incorrect. Firm A (public limited company) pays a higher profits tax rate than firm B (partnership).

Option C is incorrect. The ownership of firm A (public limited company) can be freely transferred without the consent of other shareholders, while a transfer of ownership of firm B (partnership) requires the consent of other shareholders.

5. Answer: C

The consumption of ice cream reduces the amount available to others. The ice cream is rival in consumption and therefore is a private good instead of a public good.

Option A is incorrect. Since the quantity available is not sufficient to satisfy all human wants and people prefer more of the ice cream, it is an economic good instead of a free good.

Option B is incorrect. The fact that ice cream can be used to produce other goods and services does not explain why it is an economic good.

6. Answer: C

(2) is correct. Mr. Lee does not need to switch tasks if he is only responsible for making coffee.

(3) is correct. Mr. Lee is the entrepreneur, so he earns a profit. Mr. Lee is also the owner of capital, he earns interest.

(1) is incorrect. The production tools required by the coffee shop would not be reduced after hiring a new employee.

7. Answer: D

Average labour productivity of factory A = 1,000 units / (25 × 8) man-hours = 5 units per man-hour

Average labour productivity of factory B = 800 units / (20 × 10) man-hours = 4 units per man-hour

Factory A has higher average labour productivity than factory B.

When factory A uses more advanced capital goods, it can increase the average labour productivity of workers.

Options A, B and C are incorrect. These are possible reasons why the average labour productivity of factory B is higher than that of factory A.

8. Answer: C

If the government cancels the annual quota of the Quality Migrant Admission Scheme, more qualified overseas workers can work in Hong Kong and the average labour productivity will increase.

9. Answer: A

Machinery (units)	5	5	5	5	5
Labour (units)	1	2	3	4	5
Total product (units)	20	60	114	156	X < 198
Marginal product (units)	20	40	54	42	< 42

As diminishing marginal returns sets in when the 4th unit of labour is employed, the marginal product of the 5th unit of labour would be smaller than 42, and the value of X would be smaller than 198. The average product of 5 units of labour would be smaller than 39.6 (= 198 / 5).

10. Answer: C

Output (units)	Total cost (\$)	Marginal cost (\$)
0	5	-
1	10	5
2	22	12
3	36	14
4	52	16
5	70	18

If the market price of the good is \$14, the output is 3 units, because at this output level, the marginal revenue is equal to the marginal cost.

(1) is correct. Total producer surplus = $[(14 - 5) + (14 - 12) + (14 - 14)] = \11 .

(2) is correct. Profit = $(\$14 \times 3) - \$36 = \$6$.

(3) is correct. Marginal cost reflects the change in variable cost. An increase in marginal cost means an increasing amount of a variable factor is required to increase output by 1 unit. That indicates a fall in the marginal productivity of a variable factor. As marginal cost keeps on rising, it implies that marginal product keeps on falling. The law of diminishing marginal returns applies to the firm.

(4) is incorrect. The firm operates in the short run as there is a fixed cost.

11. Answer: B

Sushiro expands its business to the production of related but not directly competing goods, which cannot reduce competition.

12. Answer: C

The money price of high-quality eggs is usually higher than that of average-quality eggs. After adding the same transportation cost, the relative price (in terms of average-quality eggs) of high-quality eggs decreases. According to the law of demand, Hong Kong people will buy a higher proportion of high-quality eggs than Japanese people, i.e. Hong Kong people will buy a lower proportion of average-quality eggs than Japanese people. In Japan, the ratio of high-quality eggs to average-quality eggs sold is 1:2.2. In Hong Kong, the ratio of high-quality eggs to average-quality eggs sold will be lower than 1:2.2.

(1): The ratio of high-quality eggs to average-quality eggs sold is 1:2.25.

(2): The ratio of high-quality eggs to average-quality eggs sold is 1:2.5.

(3): The ratio of high-quality eggs to average-quality eggs sold is 1:2.125.

The figures of (1) and (2) are inconsistent with the law of demand.

13. Answer: B

More applications for converting hotels into residential premises being approved will reduce the quantity supplied of hotel services at every given price. The supply of hotel services will decrease. Option A is incorrect. Distributing free air tickets for flights to Hong Kong to foreign tourists will increase the demand for Hong Kong's hotel services.

Option C is incorrect. Providing more subsidies for training programmes in the hotel industry may cause more people to join the hotel industry, so the supply of labour in the hotel industry may increase. The cost of production may decrease and the supply may increase.

Option D is incorrect. A decrease in the average price of hotel services will lead to a decrease in the quantity supplied of hotel services rather than a decrease in supply.

14. Answer: D

When people's income generally increases and low-quality red wine is an inferior good, people's demand for imported low-quality red wine will decrease. Consumers' expenditure on imported low-quality red wine will decrease.

Option A is incorrect. When the transportation cost for each bottle of wine imported decreases, the price of imported low-quality red wine will decrease and the quantity demanded will increase. The change in consumers' expenditure on imported low-quality red wine will be uncertain, depending on the price elasticity of demand for imported low-quality red wine.

Option B is incorrect. When a ship carrying a large quantity of high-quality red wine sinks, the supply of imported high-quality red wine will decrease and the price will increase. As imported high-quality red wine and imported low-quality red wine are substitutes, demand for imported low-quality red wine will increase. Consumers' expenditure on imported low-quality red wine will increase.

Option C is incorrect. When a ship carrying a large quantity of low-quality red wine sinks, the supply of imported low-quality red wine will decrease. The price will increase and the quantity transacted will decrease. The change in consumers' expenditure on imported low-quality red wine will be uncertain, depending on the price elasticity of demand for imported low-quality red wine.

15. Answer: C

Private cars with an internal combustion engine and electric private cars are substitutes. Under the government's scheme, more people will switch to the electric car to replace their private car with an internal combustion engine. Therefore, the demand for electric cars will increase.

The demand for and supply of private cars with an internal combustion engine will decrease.

16. Answer: D

When the total tax revenue is \$300 and consumers' tax burden is \$100, producers' tax burden would be \$200. Producers' tax burden is greater than consumers' tax burden, implying demand is more elastic than supply.

(1) is correct. When both demand and supply are elastic, demand can be more elastic than supply.

(2) is correct. When demand is elastic and supply is inelastic, demand must be more elastic than supply.

(4) is correct. When both demand and supply are inelastic, demand can be more elastic than supply.

(3) is incorrect. When demand is inelastic and supply is elastic, demand must be less elastic than supply.

17. Answer: B

The quota changes from effective to ineffective.

When the quota is Q_1 , the quantity transacted is Q_1 and the market price is P_3 .

When the quota is Q_3 , the quantity transacted is Q_2 and the market price is P_2 . Consumers' total expenditure on good X will be $(P_2 \times Q_2)$.

(3) is incorrect. When the quota is Q_3 , the quantity transacted is Q_2 and the market price is P_2 . There is no excess supply of good X as the quantity demanded is equal to the quantity supplied.

18. Answer: B

Before the subsidy is provided, the price is \$6 and the quantity transacted is 5 units.

After the subsidy is provided, the new price is \$5 and the new quantity transacted is 6 units.

(1) is correct. The vertical distance between the old and the new supply curves is \$2, implying that the government provided a per-unit subsidy of \$2 for good X.

(3) is correct. Total amount of subsidy = Per-unit subsidy $\times$ Quantity transacted after the subsidy
 $= \$2 \times 6 \text{ units} = \12 .

(2) is incorrect. Total revenue before and after the subsidy is \$30, implying that within the range of the original and the new market prices, the demand is unitarily elastic.

19. Answer: D

Option C is incorrect. Firms under monopolistic competition are price searchers, but this is not sufficient to support the answer because firms in other imperfectly competitive markets (e.g. oligopoly) can also be interdependent in their pricing strategies.

20. Answer: D

When the price is \$17, the quantity demanded is 4 units. Consumer surplus
 $= (\$20 - \$17) + (\$19 - \$17) + (\$18 - \$17) + (\$17 - \$17) = \$6$.

When the price is \$18, the quantity demanded is 3 units. Consumer surplus
 $= (\$20 - \$18) + (\$19 - \$18) + (\$18 - \$18) = \$3$.

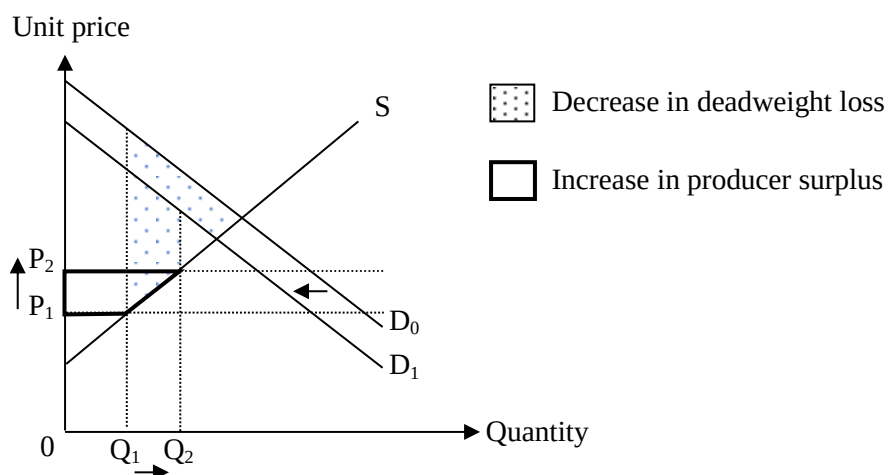
Therefore, if the price of coffee increases from \$17 to \$18, the consumer surplus will decrease by \$3.

21. Answer: A

A fall in the price of substitutes for good X will result in a decrease in the demand for good X.

When the price ceiling of good X increases, the quantity transacted will increase. The producer surplus will increase.

(3) is incorrect. The deadweight loss will decrease.



22. Answer: D

When the farmland owner reaches an agreement with the construction company, the external cost of dumping construction waste is internalised and the divergence between private and social costs is eliminated.

Option A is incorrect. As the drunk driver has a negative impact on other road users (imposes an external cost), but other road users do not receive any compensation, there is a divergence between private and social costs.

Option B is incorrect. As the birds have a negative impact on the nearby residents (impose an external cost), but the nearby residents do not receive any compensation, there is a divergence between private and social costs.

Option C is incorrect. As the noises made have a negative impact on other audience members (impose an external cost), but other audience members do not receive any compensation, there is a divergence between private and social costs.

23. Answer: C

(2) is correct. Increasing the marginal tax rates of the salaries tax will make high-income earners pay more tax while low-income earners will not be affected. The income gap between the rich and the poor will be narrowed and the Gini coefficient based on post-tax post-social transfer monthly household income will decrease.

(3) is correct. The elderly living in public housing units are generally low-income people. If the government waives their rent, their income after taxes and social transfers will increase while high-income people will not be affected, and the income gap between the rich and the poor will be narrowed. The Gini coefficient based on post-tax post-social transfer monthly household income will decrease.

(1) is incorrect. Since everyone faces the same plastic shopping bag charge, the increase in the charge will take up a higher proportion of the income of low-income people than high-income people, and the income gap between the rich and the poor will be widened. The Gini coefficient based on post-tax post-social transfer monthly household income will increase.

24. Answer: B

The contribution of local farm product manufacturers to Country A's GDP at factor cost
= \$4,000 + \$2,000 – \$50 – \$200 + \$800 = \$6,550

25. Answer: B

(1) is correct. Per capita nominal GDP = Nominal GDP / Population size

In 20X2, the percentage change in nominal GDP was –2%, while the percentage change in population size was –3%. Since the percentage decrease in nominal GDP was smaller than the percentage decrease in population size, per capita nominal GDP increased in 20X2.

(3) is correct. Implicit price deflator of GDP = (Nominal GDP / Real GDP) × 100

In 20X2, nominal GDP decreased (percentage change = –2%), while real GDP increased (percentage change = 1%), implying that the general price level decreased.

(2) is incorrect. In 20X2, the growth rate of real GDP was 1%, reflecting an increase in real GDP.

26. Answer: B

The GDP would increase (by \$80,000), because the course is the production of a resident producing unit (the university) in the current year and the value of the course would be included in the GDP.

The GNI would decrease (by \$20,000). Billy worked as a professor in Hong Kong for less than a year and he is not a Hong Kong resident. Therefore, the \$100,000 he received would be counted as factor income earned by a non-resident within the economic territory and would be deducted from GDP when calculating GNI. Thus, the change in GNI = change in GDP (+\$80,000) + change in net factor income from abroad (–\$100,000).

27. Answer: A

Reducing the standard rate of the salaries tax would increase the disposable income of high-income people. Private consumption expenditure would increase. Aggregate demand would increase and aggregate output would increase. On the other hand, as the income of high-income people increases while that of low-income people remains unchanged, the income gap would be widened.

Option B is incorrect. Tightening the eligibility for the Comprehensive Social Security Assistance Scheme would decrease the disposable income of low-income people. Private consumption expenditure would decrease. Aggregate demand would decrease and aggregate output would decrease.

Option C is incorrect. Increasing the amount of health care vouchers distributed to eligible elderly persons would increase government expenditure. Aggregate demand would increase and aggregate output would increase. However, since most of the eligible elderly are low-income people, increasing the amount of health care vouchers would increase their income and the income gap would be narrowed.

Option D is incorrect. Since the same consumption voucher brings a greater increase in the income of low-income people than that of high-income people, the income gap would be narrowed.

28. Answer: B

(1) is correct. Since eligible primary students are from low-income families, the programme can increase their income while high-income families are not eligible for the assistance. The income gap between the rich and the poor will be narrowed and equity will be improved.

(2) is correct. The programme will cause government expenditure to increase. Aggregate demand will increase.

(3) is incorrect. Since the spending of the programme will be used by schools to pay for students' lunches, it reflects the value of these lunches in the current period and should be included in the calculation of Hong Kong's GDP.

(4) is incorrect. Although the programme will increase government expenditure, it will not necessarily lead to a fiscal deficit. Whether there is a fiscal deficit depends on the government's fiscal balance.

29. Answer: B

The central bank printing more money will cause the money supply to increase and the interest rate will decrease. Consumption and investment will increase. Aggregate demand will increase, resulting in an inflationary (output) gap. There will be excess demand in the factor market, resulting in an upward pressure on input prices. The cost of production will increase. Short run aggregate supply will decrease. In the long run, the price level at the new equilibrium point will be higher than that at the original equilibrium point, while the output level will return to the full-employment output level.

Option A is incorrect. The temporary closure of a large number of factories due to a labour strike will reduce short run aggregate supply, resulting in a deflationary (output) gap. There will be excess supply in the factor market, resulting in a downward pressure on input prices. The cost of production will decrease. Short run aggregate supply will increase. In the long run, the new equilibrium point will be equal to the original equilibrium point.

Option C is incorrect. A decline in the stock market of Country A's largest export market will lead to a decrease in Country A's net exports and aggregate demand, resulting in a deflationary (output) gap. There will be excess supply in the factor market, resulting in a downward pressure on input prices. The cost of production will decrease. Short run aggregate supply will increase. In the long run, the price level at the new equilibrium point will be lower than that at the original equilibrium point.

Option D is incorrect. A lower transportation cost for raw materials will cause short run aggregate supply to increase and result in an inflationary (output) gap. There will be excess demand in the factor market, resulting in an upward pressure on input prices. The cost of production will increase. Short run aggregate supply will decrease. In the long run, the new equilibrium point will be equal to the original equilibrium point.

30. Answer: A

(1) is correct. The demand for construction workers can be regarded as a derived demand for the construction projects. Therefore, the construction of the new teaching and research facilities implies that more construction workers will be employed and the unemployed population will decrease.

(2) is correct. Investment expenditure will increase and aggregate demand will increase. In the short run, aggregate output will increase.

(3) is incorrect. Hong Kong's productive capacity will increase and the long run aggregate supply will increase. In the long run, the price level will decrease.

31. Answer: A

When the domestic currency depreciates, the relative prices of exports will decrease and the relative prices of imports will increase, resulting in an increase in exports and a decrease in imports. Net exports will increase and aggregate demand will increase. The output level in the short run will increase to a level higher than the full-employment output level, resulting in an inflationary (output) gap.

Option B is incorrect. The government's tightening of regulations on disposal of construction waste will increase the cost of production, resulting in a decrease in the short run aggregate supply. The output level in the short run will decrease to a level lower than the full-employment output level, resulting in a deflationary (output) gap.

Option C is incorrect. The increase in the profits tax rate will lead to a decrease in investment expenditure, and aggregate demand will decrease. The output level in the short run will decrease to a level lower than the full-employment output level, resulting in a deflationary (output) gap.

Option D is incorrect. Increasing the quota for importing overseas labour will increase the productive capacity of the economy. Both short run and long run aggregate supply will increase. The output level in the short run will be equal to the full-employment output level.

32. Answer: A

(3) and (4) are incorrect because the people involved in this payment do not store purchasing power in the form of money and no future payments are involved.

33. Answer: A

(1) is correct. Licensed banks can accept all types of deposits, and there is no restriction on the minimum amount or maturity of deposits.

(2) and (3) are incorrect. Restricted licence banks and deposit-taking companies cannot accept demand deposits.

34. Answer: B

$M1 = \text{Legal tender notes and coins held by the public} + \text{Customers' demand deposits with licensed banks}$

Option B is correct. The legal tender held by the public will decrease and the money supply $M1$ will decrease.

Option A is incorrect. The reduction in demand deposits with licensed banks is offset by the increase in legal tender held by the public, so the money supply $M1$ will remain unchanged.

Option C is incorrect. Demand deposits with licensed banks will increase and the money supply $M1$ will increase.

Option D is incorrect. The money supply $M3$ will decrease and the money supply $M1$ will not be affected.

35. Answer: B

$\text{Required reserve ratio} = [(\$500 - \$100) / \$2,000] \times 100\% = 20\%$

$\text{Monetary base} = \text{Cash in public circulation} + \text{Bank reserves}$

$\text{Cash in public circulation} = \$700 - \$500 = \200

(1) is correct. $\text{New deposits} = (\$500 + \$100) \times (1/20\%) = \$3,000$

$\text{Change in deposits} = \$3,000 - \$2,000 = \$1,000$

(3) is correct. $\text{Money supply} = \text{Cash in public circulation} + \text{Bank deposits}$

$\text{New money supply} = (\$200 - \$100) + \$3,000 = \$3,100$

(2) is incorrect. $\text{New loans} = \$3,000 - \$600 = \$2,400$

$\text{Change in loans} = \$2,400 - \$1,500 = \900

36. Answer: A

When people's confidence in holding the bonds is weakened, the asset demand for money will increase. Money demand will increase and the money demand curve will shift to the right from M_{d0} to M_{d2} . When the central bank raises the required reserve ratio, the money supply will decrease. The money supply curve will shift to the left from M_{s0} to M_{s1} .

37. Answer: B

QTM: $MV = PY$, where M = money supply, V = velocity of circulation of money, P = price level and Y = real output, assuming V is constant.

Option A is incorrect. If the growth rate of real output is smaller than that of the money supply, the growth rate of the price level will be positive, i.e. the price level will increase.

38. Answer: C

Expected real interest rate = Nominal interest rate – Expected inflation rate

Actual real interest rate = Nominal interest rate – Actual inflation rate

If the expected inflation rate is higher than the actual inflation rate, the expected real interest rate is lower than the actual real interest rate.

Option A is incorrect.

Real rate of return on holding cash = Nominal rate of return on holding cash – Actual inflation rate

Real rate of return on holding cash = 0 – Actual inflation rate

Since the actual inflation rate is greater than zero, the real rate of return on holding cash is smaller than the nominal rate of return on holding cash.

Option B is incorrect.

Cash does not bear interest. Therefore, cash does not generate any nominal return for the holder. The nominal rate of return on holding cash is zero.

Option D is incorrect. Cost of holding cash = Nominal interest rate. As the nominal interest rate remains unchanged, the cost of holding cash will remain unchanged.

39. Answer: D

Unemployment rate = (Unemployed population / Labour force) $\times$ 100%

(1) is correct. Since 3% of this group of graduates are unsuccessful in finding a job, the percentage increase in the unemployed population is smaller than the percentage increase in the labour force and thus the unemployment rate would decrease.

(2) is correct. Since the decrease in the number of the unemployed is the same as the decrease in the labour force, the percentage decrease in the unemployed population is greater than the percentage decrease in the labour force, and the unemployment rate would decrease.

(3) is correct. Retired people originally are not included in the unemployed population and the labour force. When they return to the job market, the labour force would increase while the unemployed population would remain unchanged. The unemployment rate would decrease.

40. Answer: C

(2), (3) and (4) illustrate progressive taxes, which would result in a more even income distribution.

(1) is incorrect. (1) illustrates a proportional tax, which would not lead to a more even income distribution.

41. Answer: C

Investment expenditure decreased and aggregate demand decreased. The output level decreased. The sale of government bonds in the open market reduced the money supply and the interest rate increased. Consumption and investment decreased. The output level decreased. Policy that would result in an increase in the output level and a decrease in the interest rate would help stabilise the output level and interest rate.

Option C is correct. Issuing more licenses for electronic payment tools will reduce the transaction demand for money, causing the interest rate to decrease. Consumption and investment will increase. Aggregate demand will increase and the output level will increase.

Option A is incorrect. Raising the discount rate will reduce the money supply and the interest rate will increase. Consumption and investment will decrease. Aggregate demand will decrease and the output level will further decrease.

Option B is incorrect. Raising the profits tax rate will suppress investment, leading to a decrease in investment expenditure. Aggregate demand will decrease and the output level will further decrease.

Option D is incorrect. Lowering the income tax rate will raise people's disposable income, private consumption expenditure will increase and aggregate demand will increase. The output level will increase. However, when people's disposable income increases, the transaction demand for money will increase and the interest rate will further increase.

42. Answer: B

Country A can use all its resources to produce 40 units of good X or 160 units of good Y, and Country B can use all its resources to produce 60 units of good X or 80 units of good Y.

Country A's opportunity cost of producing 1 unit of good X = 4 (= 160 / 40) units of good Y

Country B's opportunity cost of producing 1 unit of good X = 1.33 (= 80 / 60) units of good Y

Since Country B has a lower opportunity cost in producing good X, Country B will specialise in producing good X and Country A will specialise in producing good Y.

Before specialisation, the total output of good X is 50 units and the total output of good Y is 120 units.

After specialisation, the total output of good X is 60 units and the total output of good Y is 160 units.

The total output of good X will increase by 10 units while the total output of good Y will increase by 40 units.

43. Answer: C

If the world price of good X decreases, domestic production will decrease and domestic consumption will increase. The volume of imports will increase. With the per-unit tariff unchanged, the government's tariff revenue will increase, i.e. will be higher than $(Q_3 - Q_2) \times t$.

Option A is incorrect. The import volume after the tariff is $(Q_3 - Q_2)$.

Option B is incorrect. If the tariff is reduced, domestic production of good X will decrease to a level below Q_2 .

Option D is incorrect. For a small open economy, exporting countries can supply as much as it demands at the world price. As a result, there will be no excess demand for good X in the market whether the tariff changes or not.

44. Answer: C

The sum of all credit entries is equal to the sum of all debit entries in the balance of payments account. The balance of the balance of payments account is zero, thus current account balance = – capital and financial account balance. Given that the country is running a current account surplus, its capital and financial account must be in deficit.

Option A is incorrect. $GNI = GDP + \text{Net factor income from abroad}$

Since the net factor income from abroad is positive, GDP is smaller than GNP.

Option B is incorrect. Current account balance = $\$(200 + 250 + 25 - 70)$ million = \$405 million

Option D is incorrect. The change in reserve assets is positive, meaning there is an increase in reserve assets, so the balance of payments is in surplus instead of in deficit.

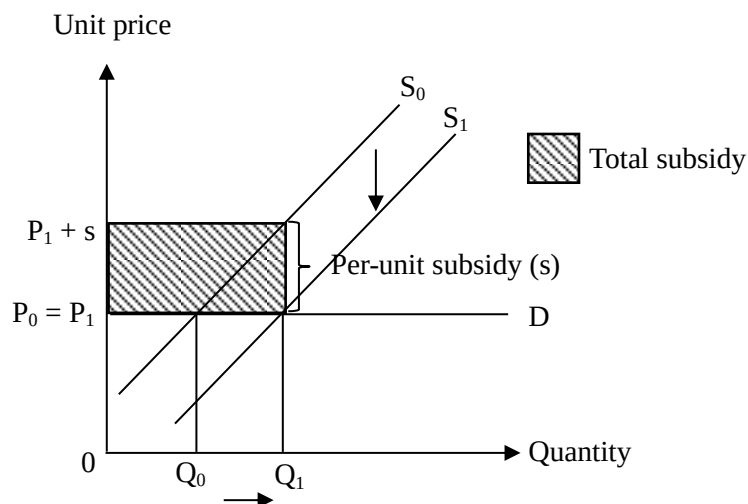
45. Answer: A

On 1 January 2022, Mr. Wong exchanged HKD 5,000 for JPY 73,800 ($= 5,000 \times 14.76$). One year later, he would receive a principal and interest of JPY 74,538 [$= 73,800 \times (1 + 1\%)$], which is HKD 4,439 ($= 74,538 / 16.79$). Mr. Wong lost about HK\$561.

Paper 2

Section A (44 marks)

1. (a) The shortage of labour during the construction period means that the government needs to spend extra money/resources on competing for workers, so the monetary/non-monetary cost incurred will increase and the full cost will increase. (3 marks)
- (b) The opportunity cost will remain unchanged. This is because the lower-than-expected occupancy rate only reduces the value of constructing the system without affecting the highest-valued option forgone. (2 marks)
2. (a) Public limited company/Listed company. (1 mark)
- (b) (i) Before privatisation, the ownership of the company was freely transferable. After privatisation, ownership can only be transferred with the consent of other shareholders. (2 marks)
- (ii) Before privatisation, the company had to disclose its accounting information to the public. After privatisation, its accounting information no longer needs to be disclosed to the public, only to its shareholders. (2 marks)
3. (a) **Condition I: Perfectly elastic demand**
Verbal elaboration:
When the demand is perfectly elastic, producers can sell as many as they want at the prevailing price. The price will remain unchanged and the quantity transacted will increase. Consumers will not enjoy any subsidy benefit. (2 marks)
Illustrate in the diagram:
- horizontal demand curve (1 mark)
- a downward shift of the supply curve (1 mark)



OR

Condition II: Perfectly inelastic supply

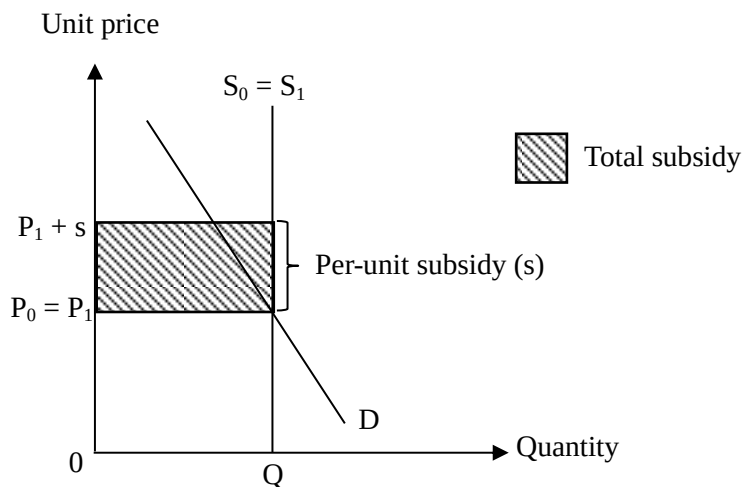
Verbal elaboration:

When the supply is perfectly inelastic, producers will not lower the price. The reason is that if the price is lowered, the quantity demanded will increase while the quantity supplied will remain unchanged. Excess demand will result. Therefore producers will not lower the price and consumers will not enjoy any subsidy benefit. (2 marks)

Illustrate in the diagram:

- old and new vertical supply curves (1 mark)

- correct position of the per-unit subsidy (1 mark)



(b) Illustrate in the diagram:

- correct amount of total subsidy under the condition given (1 mark)

4. Reasons:

- Different tutorial centres provide heterogeneous goods, such as different tutoring courses and services.
- Tutorial centres engage in non-price competition, such as advertising.
- Tutorial centres are price searchers, e.g. they offer discounts.
- Any reasonable answers

2@, max: 4 marks

(Mark the **FIRST TWO** points only)

5. The use of plastic shopping bags causes pollution. Since users of plastic shopping bags do not provide compensation to those who are affected, there is a detrimental externality. The marginal social cost will be higher than the marginal private cost. The consumption of plastic shopping bags will be higher than the efficient level. Increasing the minimum charge for plastic shopping bags will reduce the number of plastic shopping bags used, and the consumption of plastic shopping bags will be closer to the efficient level. The gap between marginal private cost and marginal social cost will be reduced. (4 marks)

6. (a) Inflation rate in 2022 = $[(99 - 102) / 102] \times 100\% = -2.94\%$ (1 mark)

(b) Mr. Chan would gain as the real value (purchasing power) of the interest he received would increase during deflation. (2 marks)

- (c) $MV = PY$, where M = money supply, V = velocity of circulation of money, P = price level and Y = real output, assuming V and Y are constant. (2 marks)

A continuous decrease in M (caused by the central bank selling government bonds in the open market) will cause a continuous decrease in P , i.e. deflation. (2 marks)

7. (a) Current transfers: Macy's remittances to Hong Kong would increase Hong Kong's current transfers received from abroad. (2 marks)

- (b) An advantage:

Under the linked exchange rate system, the exchange rate between US dollars and Hong Kong dollars is relatively stable. When Macy remits money to Hong Kong, the purchasing power of the remittance is more stable. Choosing US dollars involves a lower exchange-rate risk for Macy.

(2 marks)

OR

Any reasonable answer

(2 marks)

A disadvantage:

The US dollar is not the legal tender of Japan. She cannot use US dollars to purchase goods and services directly while she works in Japan.

(2 marks)

OR

Any reasonable answer

(2 marks)

8. (a) As Country A can use fewer units of resources than Country B to produce 1 unit of computers, Country A has an absolute advantage in producing computers. (2 marks)
- (b) Country A's opportunity cost of producing 1 unit of computers = $2/6 = 0.33$ units of wheat (1 mark)
 Country B's opportunity cost of producing 1 unit of computers = $3/3 = 1$ unit of wheat (1 mark)
 Country A's opportunity cost of producing computers is lower, so Country A has a comparative advantage in producing computers and it will export computers. (1 mark)
- (c) Terms of trade: 1 unit of computers = 1.5 units of wheat
 Gain per unit of export of Country A = 1.5 units of wheat – 0.33 units of wheat – 0.5 units of wheat = 0.67 units of wheat (3 marks)

Section B (60 marks)

9. (a) Labour. (1 mark)
 The staff provides human effort in production. (1 mark)
- (b) Capital goods. (1 mark)
 The attractions are goods used in a production process to produce services (tourism services). (1 mark)
- (c) (i) Horizontal expansion. (1 mark)
 (ii) Possible motives:
 - to enjoy economies of scale
 - to use resources more efficiently
 - any reasonable answers
 (Mark the **FIRST TWO** points only)

} 1@, max: 2 marks

(d) Possible reasons:

- Hong Kong Disneyland may have become too large in scale, so managerial efficiency may have declined.
- Hong Kong's theme park market may have become saturated, leading to a rise in marketing costs.
- Hong Kong Disneyland may have outstanding loans, so the marginal cost of further borrowing may have increased.
- Any reasonable answers

2@, max: 4 marks

(Mark the **FIRST TWO** points only)

10. (a) Required reserve ratio = $[(\$3,000 \text{ million} - \$1,000 \text{ million})/\$10,000 \text{ million}] \times 100\% = 20\%$

(1 mark)

(b) Change in monetary base = $-\$1,200 \text{ million}$

(1 mark)

Original money supply = $\$200 \text{ million} + \$10,000 \text{ million} = \$10,200 \text{ million}$

New money supply = $\$200 \text{ million} + [\$3,000 \text{ million} - \$1,200 \text{ million} \times 1/20\%] = \$9,200 \text{ million}$

Change in money supply = $\$9,200 \text{ million} - \$10,200 \text{ million} = -\$1,000 \text{ million}$. (3 marks)

(c) Verbal elaboration:

- The decrease in the money supply will lead to an increase in the interest rate. (1 mark)

- Consumption and investment will decrease. (1 mark)

- Aggregate demand will decrease. (1 mark)

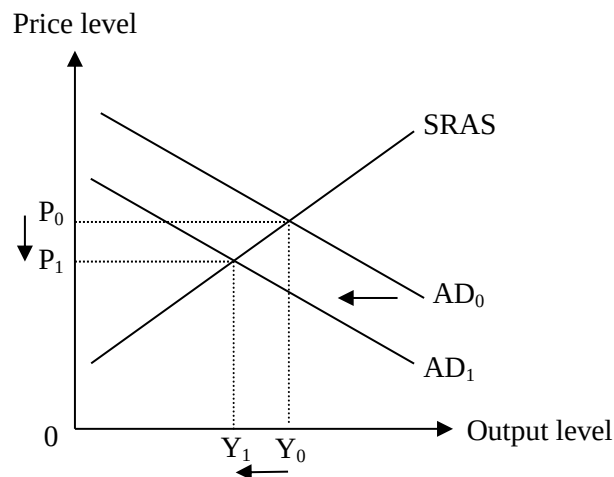
- In the short run, the price level and output level will decrease. (1 mark)

Illustrate in the diagram:

- leftward shift of the AD curve (1 mark)

- decrease in price level (1 mark)

- decrease in output level (1 mark)



11. (a) (i) Indirect tax. (1 mark)

The party being taxed can shift the tax burden to other parties. (1 mark)

(ii) Regressive tax, (1 mark)

The tax takes a decreasing proportion of income as tax payment as income increases.

(1 mark)

- (b) Under the GST, high-income and low-income people face the same tax rate. When the tax rate increases, the tax will take a higher proportion of income as tax payment for low-income people than high-income people, which will worsen income inequality. (2 marks)

OR

Any reasonable answer (2 marks)

- (c) (i) Positive statement. It describes what is, with no value judgement. It is refutable by facts. (2 marks)
- (ii) The increase in GST may reduce people's incentive to consume and their total amount of consumption will decrease. If the reduction in GST revenue due to the decrease in the total amount of consumption is greater than the increase in GST revenue due to the increase in the tax rate, the government's tax revenue from GST will decrease. (3 marks)

12. (a) Verbal elaboration:

Source A shows that the proportion of the population aged 65 and over will increase, meaning that the demand for elderly care home services will increase. (1 mark)

Source B shows that the supply of elderly care home services will increase. (1 mark)

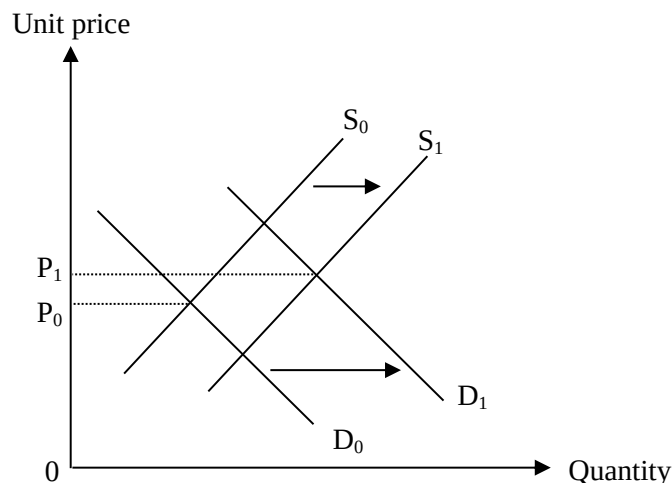
If the increase in demand has a greater effect on the price than the increase in supply, the price will increase. (1 mark)

Illustrate in the diagram:

- rightward shift of the demand curve (1 mark)

- rightward shift of the supply curve (1 mark)

- final equilibrium with a higher price (1 mark)



- (b) Time rate. (1 mark)
- Advantage: The cost of measuring the output of the care workers can be saved. (1 mark)
- (c) The geographical mobility of overseas care workers will increase because it will be easier for them to work in Hong Kong than before. (2 marks)
- (d) Yes. (1 mark)
- This is because the income is derived from current production carried out by resident producing units in Hong Kong. (1 mark)

(e) Marks awarded for effective communication (EC: max 2 marks)

Marks	Performance
2	• Arguments supported with the source/data and appropriate economic theories • Relevant materials presented • Well-organised and coherent answers presented without repetition of ideas • Ideas clearly and fluently expressed with appropriate use of language/words/terms/symbols
1	• Arguments presented with some support of the source/data and economic theories • Some irrelevant materials presented • Answers presented in a less organised way with some repetition of ideas • A clear message conveyed with some inappropriate use of language/words/terms/symbols
0	• Arguments presented with no support of the source/data and economic theories • Materials unrelated to the gist of the question presented • Inconsistent arguments presented • Limited ideas expressed with inappropriate use of words/terms/symbols

The maximum marks for content are 12 marks. Answers may include the following:

Aggregate output

Strategy I:

Importing more care workers can increase labour supply, so the short run aggregate supply and long run aggregate supply will increase. The aggregate output in both the short run and long run will increase.

Strategy II:

Due to the living allowance provided by the government, some people may quit their jobs or reduce their working hours to take care of the elderly at home. This may reduce the labour supply. Both short run aggregate supply and long run aggregate supply may decrease and aggregate output in both the short run and long run may decrease.

Evaluation:

Strategy I may be better than strategy II because the former can increase aggregate output in both the short run and long run.

Government expenditure

Strategy I:

The government may need to hire more officers to handle the applications of foreign care workers. This will incur higher administrative costs, but such costs should be insignificant relative to other components of government expenditure.

Strategy II:

This will increase government expenditure on transfer payments. On the other hand, if the subsidy encourages more elderly people to age in place instead of living in residential care homes, the government expenditure on residential care homes (e.g. spending on purchasing places in private residential care homes for the elderly) may decrease.

Evaluation:

Strategy I may be better than Strategy II as it may have no significant effect on government expenditure, while the effect of Strategy II on government expenditure is uncertain.

Unemployment rate

Strategy I:

$\text{Unemployment rate} = (\text{Unemployed population} / \text{Labour force}) \times 100\%$

Importing care workers will increase the size of the labour force. Supposing that overseas workers do not replace any domestic workers (Source D mentioned that a residential care home must prove that it fails to recruit sufficient domestic workers when applying for importation of overseas workers), the unemployed population will remain unchanged and the unemployment rate will decrease.

Strategy II:

If some people choose to quit their jobs to take care of the elderly at home due to the living allowance provided by the government, the labour force will decrease. The change in the unemployment rate will be uncertain, depending on whether the positions of these people are filled by those who were originally unemployed or not.

If some people who are originally unemployed give up looking for jobs due to the living allowance provided by the government and stay at home to take care of the elderly, both the unemployed population and the labour force will decrease. The unemployed population and labour force will fall by the same amount, so the unemployment rate will decrease.

Evaluation:

Strategy I may be better than strategy II as it is less likely to raise the unemployment rate, while the effect of strategy II on the unemployment rate is uncertain.

Section C (16 marks)

13. (a) Verbal elaboration:

At Q_1 , marginal benefit is higher than marginal cost, and there is a deadweight loss. (1 mark)

Illustrate in the diagram:

- correct position of MR (1 mark)

- correct position of Q_1 (1 mark)

- correct position of P_1 (1 mark)

- correct position of the deadweight loss (1 mark)

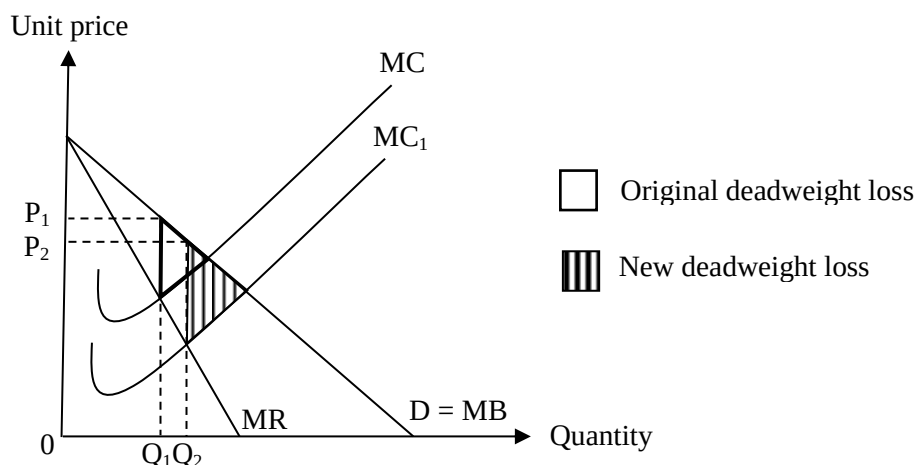
(b) (i) Illustrate in the diagram:

- downward shift of the MC curve (1 mark)

- correct positions of Q_2 and P_2 (1 mark)

(ii) Illustrate in the diagram:

- correct position of the new deadweight loss (1 mark)



(c) (i) Yes. The costs of serving families with seniors and those without seniors are the same for the same service, but families with seniors are charged a lower price. (3 marks)

(ii) Conditions:

- The firm is a price searcher. It can set its own price without losing all customers.

- The market is separable.

- Any reasonable answers

(Mark the **FIRST TWO** points only)

1@, max: 2 marks

(d) Tie-in sales.

(1 mark)

Potential harms to consumers:

- Higher market prices.

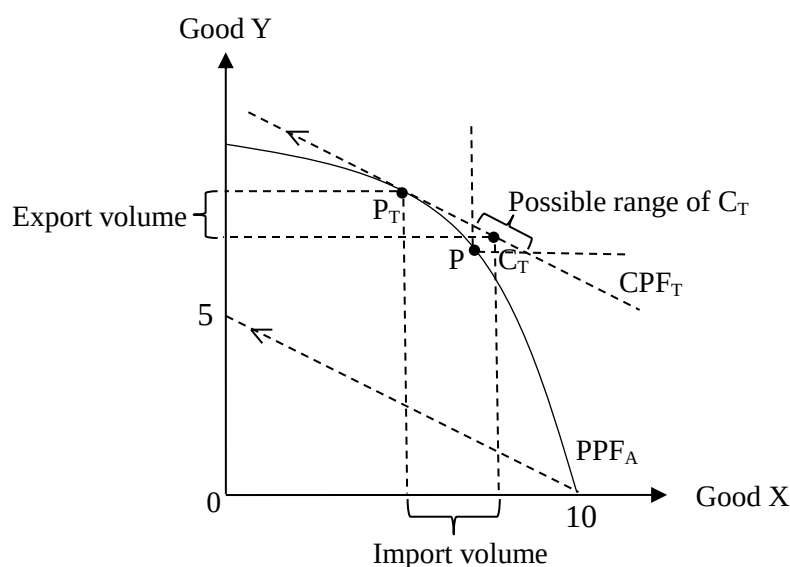
- Lack of choices for consumers.

- Any reasonable answers

(Mark the **FIRST TWO** points only)

1@, max: 2 marks

14. (a) The marginal costs of producing both good X and good Y are increasing in Country A. (1 mark)
- (b) No, because the world price of good X (0.5 units of good Y) is lower than the domestic production cost (1 unit of good Y). (3 marks)
- (c) (i) Illustrate in the diagram:
 - correct position of CPF_T (1 mark)
- (ii) Illustrate in the diagram:
 - correct position of P_T (1 mark)
- (d) Illustrate in the diagram:
 - correct position of C_T (1 mark)
 - correct position of export volume (1 mark)
 - correct position of import volume (1 mark)



- (e) If the world price of good X increases to a level higher than the domestic production cost (1 unit of good Y), Country A will have a comparative advantage in producing good X. (2 marks)
- (f) (i) A possible reason:
 - The average life expectancy decreased.
 - The mean years of schooling/expected years of schooling decreased. } 1@, max: 1 mark
 (Mark the **FIRST** point only)
- (ii) Reasons:
 - The income distribution may have become more uneven.
 - The problem of environmental pollution may have become more serious.
 - Any reasonable answers } 2@, max: 4 marks
 (Mark the **FIRST TWO** points only)